NEWS RELEASE

TSX: CBY

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Canada Bread Reports Results for the Third Quarter 2012

Toronto, Ontario – October 31, 2012…Canada Bread Company, Limited (TSX: CBY) today reported its financial results for the third quarter ended September 30, 2012.

- Adjusted Operating Earnings(1) for the third quarter increased 7.8% to $34.2 million compared to $31.8 million last year
- Net earnings for the quarter were $24.2 million compared to $30.3 million last year
- Adjusted EPS(2) for the quarter was $0.96, compared to $1.24 in the third quarter of 2011 ($0.86 excluding a $9.8 million tax adjustment associated with a prior acquisition)

"Our earnings growth resulted from effective buying strategies and a strong positive shift in our North American frozen bakery business. We have a number of commercial and marketing initiatives underway to support growth in each of our businesses, and we expect to manage inflationary costs through responsible pricing," said Richard Lan, President and CEO.

(1): Adjusted Operating Earnings, a non-IFRS measure, is defined as earnings from operations before restructuring and other related costs and other income (expense).

(2): Adjusted Earnings per Share ("Adjusted EPS"), a non-IFRS measure, is defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.

Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures in this news release.

Financial Overview

Canada Bread sales for the third quarter declined 3.8% to $401.5 million, compared to $417.2 million last year. After adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K., sales decreased 2.3%. This decrease was primarily related to lower volumes in the fresh bread business.

Adjusted Operating Earnings for the third quarter increased 7.8% to $34.2 million compared to $31.8 million last year, driven by higher earnings in the fresh bread business and the North American frozen bakery operations.

Net earnings in the quarter were $24.2 million ($0.95 basic earnings per share) compared to $30.3 million ($1.19 basic earnings per share) last year and included $0.2 million in pre-tax restructuring costs (2011: $1.6 million). Net earnings in the third quarter of 2011 also included $9.8 million ($0.38 per share) related to a tax adjustment associated with a prior acquisition. Adjusted earnings per share for the third quarter were $0.96 compared to $1.24 last year.

Business Segment Review

The following table summarizes sales by business segment:

(Unaudited)	Third Quarter		Year-to-Date	
($ thousands)	**2012**	2011	**2012**	2011
Fresh Bakery	**$ 277,709**	$ 287,923	**$ 805,056**	$ 825,372
Frozen Bakery	**123,785**	129,248	**371,543**	369,804
Sales	**$ 401,494**	$ 417,171	**$ 1,176,599**	$ 1,195,176

The following table summarizes Adjusted Operating Earnings by business segment:

(Unaudited)	Third Quarter		Year-to-Date	
($ thousands)	**2012**	2011	**2012**	2011
Fresh Bakery	**$ 28,765**	$ 29,198	**$ 66,540**	$ 80,394
Frozen Bakery	**5,469**	2,565	**13,884**	3,196
Adjusted Operating Earnings	**$ 34,234**	$ 31,763	**$ 80,424**	$ 83,590

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales for the third quarter declined 3.5% to $277.7 million from $287.9 million last year, primarily due to lower volumes in the fresh bread business.

Adjusted Operating Earnings in the third quarter were $28.8 million compared to $29.2 million last year, as improved earnings in the fresh bread business were offset by lower earnings in the fresh pasta business. Results benefited from positive hedging activities for raw materials during the quarter, although the business continues to experience inflationary costs and projected increases in flour and dairy costs that will require offsetting price increases. Volumes in the fresh bread business were consistent with the second quarter of 2012, but lower than last year, reflecting industry volume declines.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the third quarter declined 4.2% to $123.8 million from $129.2 million in 2011. After adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 0.6%. Stronger volumes and selling prices in the North American frozen bakery operations were largely offset by lower volumes in the U.K. bakery business.

Adjusted Operating Earnings in Frozen Bakery for the third quarter of 2012 increased to $5.5 million from $2.6 million last year. The North American frozen bakery business benefited from higher pricing and increased sales volumes compared to last year. In the U.K., earnings were consistent with last year as improvements from cost reduction strategies, including the closure of a bakery in the first quarter, were offset by lower volumes and costs of commissioning new croissant capacity.

Other Matters

On October 30, 2012, the Company declared a dividend of $0.50 per share payable on January 2, 2013 to shareholders of record at the close of business on December 7, 2012. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the “Enhanced Dividend Tax Credit System”.

Reconciliation of Non-IFRS Financial Measures

The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

The following tables reconcile earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under IFRS in the unaudited earnings for the three and nine months ended, as indicated below. Management believes that this basis is the most appropriate on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results during the period.

	Three months ended September 30, 2012		
(Unaudited) *($ thousands)*	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			**$ 24,215**
Income taxes			**9,471**
Earnings from operations before income taxes			**$ 33,686**
Interest expense			**365**
Earnings from operations before interest and income taxes	**$ 28,576**	**$ 5,475**	**$ 34,051**
Other (income) expense	**13**	**-**	**13**
Restructuring and other related costs	**176**	**(6)**	**170**
Adjusted Operating Earnings	**$ 28,765**	**$ 5,469**	**$ 34,234**

	Three months ended September 30, 2011		
(Unaudited) *($ thousands)*	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			$ 30,256
Income taxes			(74)
Earnings from operations before income taxes			$ 30,182
Interest expense			269
Earnings (loss) from operations before and income taxes	$ 28,658	$ 1,793	$ 30,451
Other (income) expense	86	(372)	(286)
Restructuring and other related costs	454	1,144	1,598
Adjusted Operating Earnings	$ 29,198	$ 2,565	$ 31,763

	Nine months ended September 30, 2012		
(Unaudited)	**Fresh**	**Frozen**	
($ thousands)	**Bakery**	**Bakery**	**Consolidated**
Net earnings			**$ 51,829**
Income taxes			**21,501**
Earnings from operations before income taxes			**$ 73,330**
Interest expense			**1,193**
Earnings from operations before and income taxes	**$ 64,639**	**$ 9,884**	**$ 74,523**
Other (income) expense	**(1,567)**	**209**	**(1,358)**
Restructuring and other related costs	**3,468**	**3,791**	**7,259**
Adjusted Operating Earnings	**$ 66,540**	**$ 13,884**	**$ 80,424**

	Nine months ended September 30, 2011		
(Unaudited)	**Fresh**	**Frozen**	
($ thousands)	**Bakery**	**Bakery**	**Consolidated**
Net earnings			$ 44,194
Income taxes			4,693
Earnings from operations before income taxes			$ 48,887
Interest expense			872
Earnings (loss) from operations before and income taxes	$ 67,886	$ (18,127)	$ 49,759
Other (income) expense	8	(372)	(364)
Restructuring and other related costs	12,500	21,695	34,195
Adjusted Operating Earnings	$ 80,394	$ 3,196	$ 83,590

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under IFRS as indicated below. Management believes this basis is the most appropriate on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

(Unaudited)	Three months ended September 30,		Nine months ended September 30,	
($ per share)	**2012**	2011	**2012**	2011
Basic earnings per share	**$ 0.95**	$ 1.19	**$ 2.04**	$ 1.74
Restructuring and other related costs[(i)]	**0.01**	0.05	**0.22**	1.02
Adjusted Earnings per Share[(ii)]	**$ 0.96**	$ 1.24	**$ 2.26**	$ 2.76

(i) *Includes per share impact of restructuring and other related costs, net of tax.*
(ii) *May not add due to rounding.*

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends, expected duplicative overhead costs incurred due to the concurrent operation of the new Hamilton fresh bakery and existing bakeries, expectations regarding the timing and amount of capital investments; expectations regarding the timing and cost of plant closures; the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, and expectations regarding sufficiency of the allowance for uncollectible accounts. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions

have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2011 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2011 sales of $1.6 billion and employs approximately 6,000 people at its operations across North America and in the United Kingdom.



Condensed Consolidated Interim Financial Statements
(Expressed in Canadian dollars)
(Unaudited)

CANADA BREAD COMPANY, LIMITED

Three and nine months ended September 30, 2012 and 2011

Consolidated Balance Sheets

(In thousands of Canadian dollars)	As at September 30, 2012 (Unaudited)	As at September 30, 2011 (Unaudited)	As at December 31, 2011
ASSETS			
Current assets			
Cash and cash equivalents	$ 87,300	$ 35,731	$ 59,223
Accounts receivable	39,702	46,910	56,522
Due from Maple Leaf Foods Inc.	-	426	-
Note receivable	50,973	69,692	45,847
Inventories	63,912	62,721	60,048
Income taxes recoverable	-	14,442	2,162
Prepaid expenses and other assets	4,288	8,154	5,218
	$ 246,175	$ 238,076	$ 229,020
Property and equipment	409,958	421,431	425,944
Investment property	9,524	8,537	8,415
Employee benefits	-	2,133	-
Other long-term assets	4,713	4,424	4,456
Deferred tax asset	19,419	14,418	17,917
Goodwill	263,177	268,264	266,013
Intangible assets	12,046	13,348	12,710
Total assets	$ 965,012	$ 970,631	$ 964,475
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	$ 1,587	$ -	$ 3,153
Accounts payable and accruals	177,101	191,047	185,811
Provisions	10,251	19,236	23,066
Due to Maple Leaf Foods Inc.	3,571	-	2,451
Dividends payable	12,708	5,083	5,083
Income taxes payable	123	-	-
Current portion of long-term debt	350	2,449	2,452
	$ 205,691	$ 217,815	$ 222,016
Long-term debt	2,986	1,697	1,634
Deferred tax liability	19,224	24,689	21,784
Employee benefits	60,447	53,513	50,434
Provisions	5,521	5,319	5,005
Total liabilities	$ 293,869	$ 303,033	$ 300,873
Shareholders' equity			
Share capital	$ 142,965	$ 142,965	$ 142,965
Retained earnings	543,316	529,128	530,852
Accumulated other comprehensive loss	(15,138)	(4,495)	(10,215)
Total shareholders' equity	$ 671,143	$ 667,598	$ 663,602
Total liabilities and shareholders' equity	$ 965,012	$ 970,631	$ 964,475

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts) *(Unaudited)*	Three months ended September 30, **2012**	2011	Nine months ended September 30, **2012**	2011
Sales	**$ 401,494**	$ 417,171	**$ 1,176,599**	$ 1,195,176
Cost of goods sold	**318,879**	335,174	**946,787**	956,389
Gross margin	**$ 82,615**	$ 81,997	**$ 229,812**	$ 238,787
Selling, general and administrative expenses	**48,381**	50,234	**149,388**	155,197
Earnings before the following:	**$ 34,234**	$ 31,763	**$ 80,424**	$ 83,590
Restructuring and other related costs	**(170)**	(1,598)	**(7,259)**	(34,195)
Other (expense) income	**(13)**	286	**1,358**	364
Earnings before interest and income taxes	**$ 34,051**	$ 30,451	**$ 74,523**	$ 49,759
Interest expense	**365**	269	**1,193**	872
Earnings before income taxes	**$ 33,686**	$ 30,182	**$ 73,330**	$ 48,887
Income taxes	**9,471**	(74)	**21,501**	4,693
Net earnings	**$ 24,215**	$ 30,256	**$ 51,829**	$ 44,194
Earnings per share				
Basic and diluted earnings per share	**$ 0.95**	$ 1.19	**$ 2.04**	$ 1.74
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

Consolidated Statements of Comprehensive Income

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended September 30, **2012**	2011	Nine months ended September 30, **2012**	2011
Net earnings	**$ 24,215**	$ 30,256	**$ 51,829**	$ 44,194
Other comprehensive income (loss)				
Change in accumulated foreign currency translation adjustment	**(4,836)**	14,070	**(4,273)**	8,554
Change in unrealized gains and losses on cash flow hedges	**(228)**	1,902	**(650)**	1,047
Change in actuarial gains and losses	**(4,741)**	(13,500)	**(8,864)**	(13,500)
	$ (9,805)	$ 2,472	**$ (13,787)**	$ (3,899)
Comprehensive income	**$ 14,410**	$ 32,728	**$ 38,042**	$ 40,295

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars) *(Unaudited)*	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
Balance at December 31, 2011	**$ 142,965**	**$ 530,852**	**$ (10,215)**	**$ 663,602**
Net earnings	-	**51,829**	-	**51,829**
Other comprehensive loss	-	**(8,864)**	**(4,923)**	**(13,787)**
Dividends declared ($1.20 per share)	-	**(30,501)**	-	**(30,501)**
Balance at September 30, 2012	**$ 142,965**	**$ 543,316**	**$ (15,138)**	**$ 671,143**

(In thousands of Canadian dollars) *(Unaudited)*	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
Balance at December 31, 2010	$ 142,965	$ 510,126	$ (14,096)	$ 638,995
Net earnings	-	44,194	-	44,194
Other comprehensive (loss) income	-	(13,500)	9,601	(3,899)
Dividends declared ($0.46 per share)	-	(11,692)	-	(11,692)
Balance at September 30, 2011	$ 142,965	$ 529,128	$ (4,495)	$ 667,598

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended September 30, **2012**	2011	Nine months ended September 30, **2012**	2011
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$ 24,215**	$ 30,256	**$ 51,829**	$ 44,194
Add (deduct) items not affecting cash:				
Depreciation and amortization	**12,582**	11,432	**36,522**	35,046
Deferred income taxes	**(814)**	3,033	**554**	(629)
Current income taxes	**10,285**	(3,107)	**20,947**	5,322
Interest expense	**365**	269	**1,193**	872
(Gain) loss on sale of long-term assets	**(11)**	267	**(137)**	268
Change in provision for restructuring and other related costs	**(1,157)**	(1,920)	**(7,755)**	24,280
Decrease in pension liability	**(432)**	-	**(1,875)**	-
Net income taxes paid	**(7,831)**	(4,487)	**(18,222)**	(21,887)
Interest paid	**(350)**	(437)	**(1,204)**	(795)
Other	**(112)**	3,578	**304**	594
Change in non-cash operating working capital	**(12,608)**	9,761	**(1,553)**	(32,892)
Cash provided by operating activities	**$ 24,132**	$ 48,645	**$ 80,603**	$ 54,373
Financing activities				
Dividends paid	**$ (12,708)**	$ (8,642)	**$ (22,840)**	$ (11,692)
Repayment of long-term debt	**(34)**	-	**(822)**	-
Cash used in financing activities	**$ (12,742)**	$ (8,642)	**$ (23,662)**	$ (11,692)
Investing activities				
Additions to long-term assets	**$ (10,147)**	$ (25,087)	**$ (32,180)**	$ (88,715)
Capitalization of interest expense	**-**	-	**-**	(119)
Proceeds from sale of long-term assets	**2,434**	-	**4,882**	5,294
Other	**-**	144	**-**	(34)
Cash used in investing activities	**$ (7,713)**	$ (24,943)	**$ (27,298)**	$ (83,574)
Increase (decrease) in cash and cash equivalents	**$ 3,677**	$ 15,060	**$ 29,643**	$ (40,893)
Net cash and cash equivalents, beginning of period	**82,036**	20,671	**56,070**	76,624
Net cash and cash equivalents, end of period	**$ 85,713**	$ 35,731	**$ 85,713**	$ 35,731
Net cash and cash equivalents is comprised of:				
Cash and cash equivalents	**$ 87,300**	$ 35,731	**$ 87,300**	$ 35,731
Bank indebtedness	**(1,587)**	-	**(1,587)**	-
Net cash and cash equivalents, end of period	**$ 85,713**	$ 35,731	**$ 85,713**	$ 35,731

Segmented Financial Information

	Three months ended September 30,		Nine months ended September 30,	
	2012	2011	**2012**	2011
Sales				
Fresh Bakery	**$ 277,709**	$ 287,923	**$ 805,056**	$ 825,372
Frozen Bakery	**123,785**	129,248	**371,543**	369,804
	$ 401,494	$ 417,171	**$ 1,176,599**	$ 1,195,176
Earnings before restructuring and other related costs and other income				
Fresh Bakery	**$ 28,765**	$ 29,198	**$ 66,540**	$ 80,394
Frozen Bakery	**5,469**	2,565	**13,884**	3,196
	$ 34,234	$ 31,763	**$ 80,424**	$ 83,590
Capital expenditures				
Fresh Bakery	**$ 6,821**	$ 19,362	**$ 24,553**	$ 74,995
Frozen Bakery	**3,326**	5,725	**7,627**	13,720
	$ 10,147	$ 25,087	**$ 32,180**	$ 88,715
Depreciation and amortization				
Fresh Bakery	**$ 7,918**	$ 6,376	**$ 22,622**	$ 19,445
Frozen Bakery	**4,664**	5,056	**13,900**	15,601
	$ 12,582	$ 11,432	**$ 36,522**	$ 35,046

	As at September 30, 2012	As at September 30, 2011	As at December 31, 2011
Total assets			
Fresh Bakery	**$ 507,476**	$ 516,798	$ 516,485
Frozen Bakery	**350,922**	383,728	368,534
Non-allocated assets	**106,614**	70,105	79,456
	$ 965,012	$ 970,631	$ 964,475
Goodwill			
Fresh Bakery	**$ 125,892**	$ 125,892	$ 125,892
Frozen Bakery	**137,285**	142,372	140,121
	$ 263,177	$ 268,264	$ 266,013